

114 A3 Feedback

QUESTION 1

The question was answered relatively well as most students understood what capitalism is per its definition, but some struggled to relate the definition back to China and USA so lost marks there.

QUESTION 2

2.1 Given that technology A is used, the firm needs $\frac{1}{5}$ or 0.2 units of capital.

2.2 Students had to calculate the cost of the technologies to prove that technology A is more expensive.

$$A: 50w + 10(10) = R850; w=R15$$

$$B: 25(15) + 40(10) = R775$$

OR

$$C: 15(15) + 35(10) = R575$$

These calculations show that the firm would not be rational to choose technology A since it is more labour-intensive, which makes it relatively more expensive.

2.3 Trousers

QUESTION 3

Most students struggled with calculating the MRS and did not really understand how to answer 3.4.

QUESTION 4

Most students managed to get full marks for this question. The money price of a cola was calculated as R15 ($R360/24$). For the money price of a pizza, one can use the information on the slope of the budget line and calculate the money price as R36. New income is given as R540 ($36 \times R15$).

QUESTION 5

Some students struggled with this question because of inability to solve a game and to have intuitive understanding of key concepts like a dominant strategy. The Nash equilibrium of the

game is (B,B) and solution does not constitute a dominant strategy equilibrium simply because one of the players (P2) does not have a dominant strategy.

QUESTION 6

6.1 Only B, C

6.2 Pumbaa is indifferent between A and B.

6.3 The feasibility frontier shifts inwards (from FF1 to FF3), whilst the biological survival constraint is unchanged.

QUESTION 7

Question 7.1 was fairly well answered. Students who got this question wrong got confused between the most preferable isocost line and feasible isocost lines (IC1 is most preferable but students answered IC3 because it is the most preferred *feasible* isocost line). Question 7.2 was well answered; some students incorrectly answered *only* IC3 and explained the process of the firm's minimizing cost given the best responses of the employee, which was not what the question was asking for. Common problems with question 7.3 were inverting the ratio (answering e/w instead of w/e) and calculating the cost per unit effort for IC1 and/or IC4, which is not when McDonald's sets an efficiency wage. There were other minor issues such as rounding errors and giving the formula only instead of calculating the actual cost per unit effort.

QUESTION 8

Question was answered fairly well. Many students got to the right answer of 1.86, but many did not explain that this meant that demand is elastic.

The majority of students could find the two different price values for the two quantities demanded, but many did not know how to continue answering the question using that information. Quite a few students got the formula for elasticity wrong, making the percentage change in price the numerator and percentage change in quantity the denominator.

Others wrote down the correct formula (percentage change in quantity divided by percentage change in price) but did not calculate the percentage change in both variables, rather, they just divided the change in quantity by the change in price.

QUESTION 9

9.1 Question was answered very well, most students correctly calculated that equilibrium quantity is 4 and equilibrium price is also 4. Some students got to the wrong answer because of small mathematical mistakes.

9.2 Not many students got full marks for this question since many did not actually plug the R5 into BOTH the supply and demand equations to show that quantity demanded would be three and quantity supplied six. Even without the calculations many students correctly stated that there would be excess supply in the market.

QUESTION 10

Most students managed to explain that the fires decrease supply, and the University statement increases demand. However, students struggled to draw the graph illustrating this. The demand curve will shift to the right and the supply curve will shift to the left. From this it is clear that the equilibrium price will increase whilst the change in quantity is unclear (it depends on the way the graph is drawn). Many students only mentioned the change in supply and demand and did not discuss the price and quantity changes.

QUESTION 11

Question 11 was not well answered in general. There were many students who received 0 marks or 1 mark out of a total of 8. 11.1 was the best answered question, although there were still a number of students who got it wrong. Many students struggled to calculate 11.2. Question 11.3 was poorly answered, although several students wrote out the formula for consumer surplus but applied it incorrectly. 11.4 was the worst answered question and very few students received marks for 11.4. Either students did not put effort into learning this section of work and/or there was a lack of understanding of what WTP and WTA mean, and how to apply the consumer and producer surplus formulas.

QUESTION 12

Few students managed to identify that perfectly inelastic demand means the demand curve is vertical. Students also struggled to understand what perfect inelasticity means. If demand is perfectly inelastic it means buyers buy the same quantity irrespective of what happens to price. The full tax burden therefore falls on the buyers as sellers increase the price with the full amount of the tax.

QUESTION 13

13.1 This was well answered. The socially efficient quantity of cars is 80.

13.2 Most students used the correct formula, however many used the incorrect values. The base is calculated as $120 - 80$ whilst the height is calculated as $R460 - R340$.

13.3 Most students correctly identified the tax as equalling the marginal external cost ($R340 - R260$).

